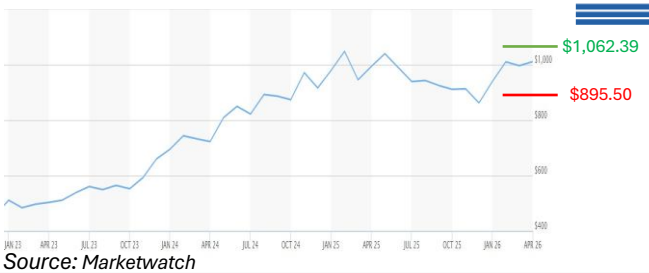
# Costco Wholesale (COST)

Recommendation: Hold
Current Price: $1,011.15
Target Price: $1,062.39
Upside: 5.07%

*Costco Wholesale Stock Price Chart*




*Source: Marketwatch*

## Data Overview

52 weeks high: $1,067.08

52 weeks low: $844.06

3 Mths Average Volume: $1.95M

Market Cap: $488.6B

Beta: 0.98

Div Yield: 0.51%

P/E: 52.58x

PEG: 5.6x

EV/EBITDA: 31.18x

## Summary

Costco Wholesale Corporation (NASDAQ: COST) is one of the world's largest warehouse club retailers, headquartered in Issaquah, Washington. Founded in 1983, the company sells a limited range of branded and its own Kirkland Signature products at low prices through a membership-only model. As of fiscal year-end August 2025, it operated 914 warehouses across 14 countries.

Costco makes money in two ways: product sales (roughly 98% of fiscal 2025 total revenue of $275.2bn) and annual membership fees (roughly 2%, or $5.3bn). Membership fees flow almost entirely to operating income, underpinning Costco's ability to achieve profitability consistently. The US and Canada are the core markets, generating 86% of net sales, while international operations punch above their weight, contributing 34% of operating income.

Figure 1: Revenue in $M

*Source: 10k Reports, Shane's Analysis*

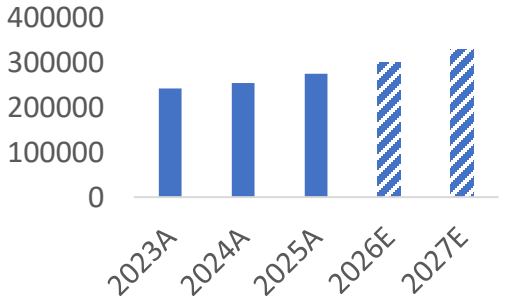
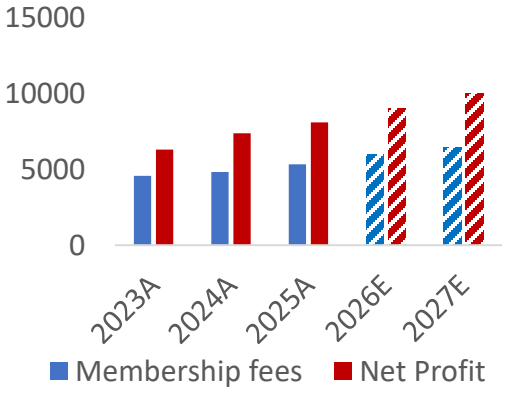



Figure 2: Membership Fees & Net Profit in $M

*Source: 10k Reports, Shane's Analysis*




## Sales and Earnings Growth

We expect a higher membership fees revenue to continue into year 2026 and 2027 with the membership price increase to $65 with effect from September 2024. Aside from the price, the membership headcount is expected to grow at 8.5% a year, supported by 8% CAGR in Gold Star equivalent members *(Executive members considered as 2x Gold Star members)*, and 1.45% CAGR in warehouse openings for the past 5 years, we have forecasted a higher growth in warehouse openings of 1.9% in Costco's guidance.

For revenue contributed by merchandise sales, we expect the merchandise sales to grow in line with warehouse count and its growth in sales/ft2 of its warehouse space, resulting in an expected growth rate of 8.86% and 9.71% for merchandise sales revenue.

## Growth Estimate (YoY%)

| | 2023A | 2024A | 2025A | 2026E | 2027E |
|---|---|---|---|---|---|
| Membership Fees | 8.43% | 5.41% | 10.25% | *11.78%* | *8.67%* |
| Total Revenue | 6.76% | 5.02% | 8.17% | *8.89%* | *9.69%* |
| Net Profit | 7.67% | 17.09% | 9.94% | *11.42%* | *11.15%* |

Figure 3: P/E Multiple against Peers

*Source: 10k Reports, Shane's Analysis*

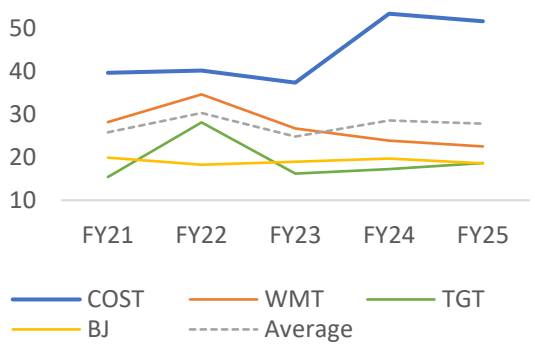
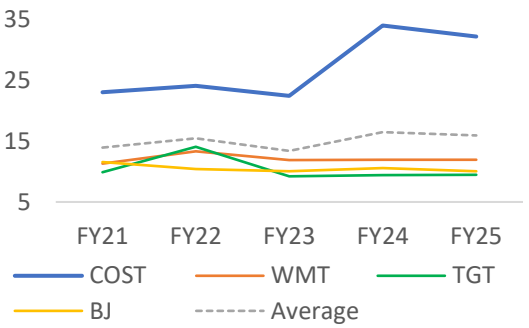



Figure 4: EV/EBITDA Multiple against Peers

*Source: 10k Reports, Shane's Analysis*




## Valuation

Costco's P/E is much higher than all peers, trading at 50x plus earnings, as opposed to peer average of 27.9x. The same pattern is seen in their EV/EBITDA multiple, with 31.18x against peer average of 15.9x.

The high valuation is supported by Costco's growth and low risk aspect. Costco's revenue growth has stayed in the positive range steadily for the past 20 years, even during crisis period such as 2009 and 2020, mostly above 5% yoy growth. In terms of riskiness, its resilience in market trough makes it a strong defensive stock to hold across market cycle. Costco's sticky member base has been a strong support for its net profit every year with a membership renewal rate of 90% each year. Its high dividend payout ratio also plays a crucial role in this narrative, with an average of >50% dividend payout ratio over the past 20 years with special dividends included.

However, its valuation has been much elevated since 2023, a 43% spike from year 2023 to year 2024 following its announcement of $15 special dividend. This means the valuation premium is highly attributed to its dividend payment, Costco's valuation might correct towards industry average if such high dividend payment cannot be sustained. Based on DCF and DDM analysis, the implied terminal growth rate is around 6.5% based on the current stock price, which might point to an overvalued narrative.

## Reason to Buy

- Strong and resilient growth: Net profit have been consistently positive, even during crisis years, with a CAGR of >10% over the past 20 years, which is an exceptional growth for a mature retailer. Largely attributable to its consistently high membership renewals.
- High dividend payout: Very high dividend payout, with approximately 11% yearly increase in regular dividends for the past 5 years. Dividend payout ratio is >100% when special dividend is given, which happens every 3-4 years since 2015.
- Steady returns: Consistent strong profit generation capability proven by steady ROA, ROE and ROIC, with 5 year average of 9.5%, 20.5% and 28% respectively.
- Strong financial position: Costco is almost free of debt with a Debt to Equity ratio of <0.02x. Combine that with cash conversion cycle of around 30 days, resulting in an extremely strong financial position.

## Risks to Consider

- Stretched valuation: P/E and EV/EBITDA are much higher than industry average, especially after the 2023 special dividend announcement, deterioration in cash position and decrease in dividend payout can cause valuation to shrink.
- Thin margin: Net profit margin is very low at 2.9%, the lack of cushion can be concerning as SG&A has been rising as they scale.

## Conclusion

Base case assume limited impact from the geopolitical tension, Costco grows at a slightly faster pace, steady margin, and dividend payment increasing steadily at 11% per year. In this case, EPS is expected to grow 11.42% and valuation maintains, resulting in price target of $1,062.39 for FY end 2026, potential upside of 5.07%.

Bear case considers potential increase in cost to upkeep CAPEX due to geopolitical tension and decrease in dividend payout, in which case earnings can take a hit and valuation retract towards its previous level of 37.5x P/E. An immediate retraction is unlikely but a retraction to 45x P/E is a reasonable level, resulting in an implied price of $895.50 for FY end 2026, potential downside of 11.43%.